Undertaking to the Australian Competition and Consumer Commission

Given under section 87B of the *Trade Practices Act* by

Baiada Holdings Pty Limited
ABN 19 003 013 321

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1 BACKGROUND

1.1 Baiada and Bartter are both vertically integrated chicken meat processors with multi-state operations. Their operations include broiler and breeder farms, hatcheries, processing plants, feed milling, protein recovery and distribution. They both primarily sell various types of processed chicken meat.

1.2 Baiada also supplies fertilised eggs, day old chicks and live grown birds to some regional processors.

1.3 Baiada or one of its Related Bodies Corporate (collectively referred to as Baiada in this Undertaking) proposes to acquire all of the shares in Bartter pursuant to a Share Sale Deed (Proposed Acquisition).

1.4 On 12 November 2008, the Commission commenced its public review of the Proposed Acquisition.

1.5 The Commission has made market inquiries and considered the information provided by the parties, industry participants and others. The Commission's inquiries were aimed at assessing whether or not the Proposed Acquisition was likely to substantially lessen competition in any substantial Australian market in contravention of section 50 of the Act.

1.6 The Commission has concluded that, in the absence of the undertakings contained in this document, the Proposed Acquisition would lead to a substantial lessening of competition in the market for the wholesale supply of processed chicken. A Public Competition Assessment issued on 27 February 2009 outlined the public basis on which the Commission reached this conclusion (it is noted that any confidential information informing the Commission's decisions is excluded from Public Competition Assessments).

1.7 In its Public Competition Assessment, the Commission identified a number of specific competition concerns which underpinned its view that the Proposed Acquisition would be likely to result in a substantial lessening of competition in the market for the wholesale supply of processed chicken meat.

1.8 In particular, the Commission identified the QSR segment as being particularly vulnerable to the Proposed Acquisition, as QSRs have specific requirements and are heavily reliant on Baiada, Bartter and Inghams for the supply of large volumes of chicken meat across Australia. While the Commission acknowledged that there are several other processors in the industry, in its view, they are unable to supply large volumes of processed chicken to the QSRs within the time frame necessary to act as an effective constraint upon the merged entity. The Commission's conclusion was supported by its assessment that the existing processors would face high barriers to expansion, whilst new suppliers would face high barriers to entry.

1.9 Baiada does not agree with a number of the Commission's views in respect of the QSR segment of the market nor with its conclusion that the Proposed Acquisition would be likely to substantially lessen competition in any market. However, in order to avoid delay and to address the Commission's competition concerns, Baiada has, without admission, provided this Undertaking.

1.10 Pursuant to this Undertaking, Baiada has agreed to sell the Divestiture Business as a competitive going concern including all necessary assets (including processing facilities, growing facilities, distribution facilities and access to essential business inputs).

1.11 The Commission's approval of the Proposed Acquisition is dependent on the sale of the Divestiture Business to the Purchaser on the same day as, and interdependent with the completion of the Proposed Acquisition.

1.12 The primary purpose of the Undertaking is to divest an independent, viable business that is capable of forming, in conjunction with the Purchaser's other existing business assets, an independent, long term competitor in competition with the merged entity. The Divestiture Business will provide the Purchaser with the additional production capacity, growing facilities, distribution facilities and access to day old chicks or fertilised eggs, either internally or from an external source, which are required to effectively service the QSR segment of the wholesale chicken supply market. Having regard to the above, the Commission is satisfied that this Undertaking addresses its competition concerns.

1.13 The objective of the Undertaking is to address the Commission's competition concerns which would otherwise arise as a consequence of the proposed acquisition. The Undertaking aims to maintain competition through the creation or strengthening of an additional viable, stand-alone independent and long term competitor for the wholesale supply of processed chicken meat products to QSRs, particularly to customers with requirements for large volumes purchases across multiple states of Australia. The Commission will have regard to this objective in assessing compliance with this Undertaking. The Undertaking is intended to ensure the Purchaser has the necessary assets (including processing facilities, growing facilities, distribution facilities and access to essential business inputs) to compete effectively with the merged entity in the relevant markets from the Transaction Date.

2 COMMENCEMENT AND TERMINATION OF UNDERTAKING

2.1 This Undertaking comes into effect when:

(a) the Undertaking is executed by Baiada; and

(b) the Undertaking so executed is accepted by the Commission.

2.2 This Undertaking terminates on the earlier of:

(a) the end of the provision of services by Baiada under clause 3.16 below;

(b) 30 months from the Control Date; or

(c) the date the Commission consents in writing to the withdrawal of this Undertaking in accordance with section 87B of the Act.

2.3 The Undertaking will also terminate if the Share Sale Deed is terminated prior to the Transaction Date and Baiada advises the Commission in writing that it no longer plans to acquire Bartter.

3 SALE OF THE DIVESTITURE BUSINESS

3.1 Baiada will, on the Transaction Date and in accordance with this Undertaking, divest, or cause the divestiture of, the Divestiture Business to the Purchaser.

3.2 The Commission has approved, as a condition precedent to accepting this Undertaking, La Ionica as the Purchaser on the basis of the following:

(a) the Purchaser is and will remain independent from Baiada, except to the extent of the services referred to in clause 3.16 and other arms length commercial arrangements for:

(i) by product processing; and/or

(ii) the periodic sale and/or purchase of processed chicken meat or live birds;

(b) the Purchaser is of good financial standing and has an intention to maintain and operate the Divestiture Business; and

(c) the Purchaser is able to conduct the Divestiture Business effectively.

3.3 The Commission may revoke La Ionica's status as the Purchaser and its approval of the Undertaking if it becomes aware that the information provided to it was incorrect, inaccurate or misleading.

3.4 Baiada shall divest the Divestiture Business on terms which include the sale, assignment, transfer or licence, to the Purchaser of the Divestiture Business.

3.5 If Baiada fails to obtain or is unable to obtain any regulatory or other approval for the transfers of the Statutory Licences referred to in Schedule 2 before the Transaction Date then:

(a) Baiada must provide the Commission, at least seven Business Days prior to the Transaction Date, with details of those Statutory Licences (including reasons why such approval could not be given prior to the Transaction Date); and

(b) the Proposed Acquisition may only proceed with the prior approval of the Commission.

3.6 Baiada must:

(a) where required under the terms of each contract identified in Schedule 2 that is capable of being transferred, apply for Third Party Consents to the novation, assignment or transfer of the contracts, and either novate, assign or transfer such contracts to the Purchaser or provide written reasons as to why such consents could not be obtained; and

(b) [the contents of this sub-clause (b) are contained within Confidential Schedule 7, to be kept confidential until the Divestiture Date.]

3.7 [the contents of this clause 3.7 are contained within Confidential Schedule 8, to be kept confidential until the Divestiture Date].

3.8 In addition to clause 3.4, Baiada must provide transitional services to the Purchaser, unless otherwise agreed between Baiada and the Purchaser, as required by clauses 3.16(a) and 3.16(b) on arms length terms, and notified to the Commission.

3.9 Baiada must not do anything to discourage the personnel identified in Schedule 2(h) from taking up employment or contracting with the Purchaser, and that Baiada must on and from the Divestiture Date release those employees or contractors from their employment or services contracts consistent with clause 5;

3.10 The sale of the Divestiture Business to the Purchaser must take place on the same day as, and interdependent with the completion of the Proposed Acquisition. If, on the Transaction Date, the sale of the Divestiture Business is not completed, then clause 3.12 applies.

3.11 Baiada must not consent to the variation or waiver of any of the conditions of any of:

(a) the Share Sale Deed;

(b) the Divestment Implementation Deed; and

(c) the Completion Deed,

without the consent of the Commission.

3.12 Notwithstanding any provision in the Share Sale Deed, the Divestment Implementation Deed, or the Completion Deed, if on the Transaction Date,

(a) Baiada does not complete the sale of the Divestiture Business, to the Purchaser in accordance with clause 3.4, then, pursuant to clause 3.10, Baiada is prohibited from completing the Proposed Acquisition; and

(b) to the extent that the Parties have taken actions to complete the Proposed Acquisition, the parties must do everything required to reverse those actions; and

(c) the Parties must each return to the relevant counterparty all documents delivered under any of the Share Sale Deed, the Divestment

Implementation Deed, or the Completion Deed and must each repay to the relevant counterparty all payments received by them; and

(d) if, in breach of clause 3.12(a), Baiada completes the Proposed Acquisition and the matters in clauses 3.12(b) and (c) are not satisfied, then Confidential Schedule 12 will apply.

3.13 Baiada must notify the Commission in writing of the date of the Transaction Date at least ten Business Days before the Transaction Date.

3.14 Baiada must notify the Commission in writing of the occurrence of the completion of the acquisition of Bartter and divestiture of the Divestiture Business on the Control Date.

3.15 Baiada must provide the Commission with copies of any executed:

(a) Divestment Implementation Deed;

(b) Completion Deed;

(c) Asset Sale Agreement;

(d) any document evidencing any variation to the Share Sale Deed;

(e) Day Old Chick and Fertile Egg Supply Agreement;

(f) agreement appointing the Auditor as contemplated by clause 4.4, and

(g) any other agreement between the Purchaser and Baiada relevant to the operations of the Divestiture business, the business of the Purchaser and/or the independence of the Purchaser from Baiada;

in each case, within one Business Day of it being executed.

3.16 On and from the Divestiture Date, Baiada must:

(a) if requested by the Purchaser, provide and maintain IT systems and support to the Divestiture Business for a period of up to 90 days from the Divestiture Date (and if requested by the Purchaser by notice to Baiada at least 30 days prior to the expiry of the initial 90 day period, the Purchaser may obtain an extension of a further 90 days);

(b) supply to the Purchaser, in accordance with the terms of the Day Old Chick and Fertile Egg Supply Agreement as set out in Confidential Schedule 1, day old chicks (or, as the case may be, the equivalent fertilised eggs or parent stock) which the Purchaser considers are required by it to conduct its business as a whole:

(i) for a period of 30 months from the Divestiture Date; or

(ii) until such earlier time when the Purchaser advises it no longer requires supply;

(c) procure the assignment or transfer to the Purchaser of Broiler Growing Capacity equivalent to 155,000 square meters of Broiler Farm Growing Area as specified in Schedule 2(g)(ii) and (iii); with a lower level of Broiler Growing Capacity only able to be assigned or transferred with the prior approval of the Commission;

(d) direct its personnel, including directors, managers, officers, employees and agents to act in accordance with its obligations under the Undertaking;

(e) provide access to information and/or documents required by the Purchaser insofar as that information and/or documents directly relate to the Divestiture Business for a period of up to 90 days from the Divestiture Date; and

(f) not, at any time from the Control Date and throughout the term of the Undertaking, use any confidential Divestiture Business customer or supplier information (including contact details and trading terms) gained through the provision of any services to the Purchaser.

4 APPOINTMENT OF AUDITOR

4.1 Baiada must appoint an Auditor prior to the Transaction Date to monitor and report to the Commission on compliance by Baiada with its obligations set under the Undertaking. Baiada must maintain that appointment (or an alternative appointment) until the obligations set out in this Undertaking terminate.

4.2 The Auditor must be a person who has the relevant skill to perform the role of Auditor and is independent of Baiada, Bartter and the Purchaser. Without limitation, an Auditor is not independent if the Auditor:

(a) is a current employee or officer of Baiada, Bartter or the Purchaser;

(b) has been an employee or officer of Baiada, Bartter or the Purchaser in the past 36 months;

(c) in the opinion of the Commission, holds an interest in Baiada, Bartter or the Purchaser;

(d) has within the past 36 months been a professional adviser to Baiada, Bartter or the Purchaser;

(e) has a contractual relationship, or is an employee or contractor of a firm or company that has a contractual relationship, with Baiada, Bartter or the Purchaser;

(f) is a supplier, or is an employee or contractor of a firm or company that is a supplier, of Baiada, Bartter or the Purchaser; or

(g) is a customer, or is an employee or contractor of a firm or company that is a customer, of Baiada, Bartter or the Purchaser.

4.3 Baiada must, at least ten business days, prior to the Transaction Date, advise the Commission in writing of the identity of the Proposed Auditor, together with such information or documents (including, but not limited to the proposed terms of engagement) that the Commission requires to assess the skill and independence of the Proposed Auditor.

4.4 If, within five Business Days of receipt by the Commission of the information or documents from Baiada referred to in clause 4.3, or such further period as required by the Commission and notified to Baiada:

(a) the Commission does not object to the Proposed Auditor, Baiada must appoint the Proposed Auditor as Auditor as soon as practicable thereafter (but in any event before the Transaction Date) on terms approved by the Commission and consistent with the performance by the Auditor of its functions under this Undertaking and forward to the Commission a copy of the executed terms of appointment of the Auditor; or

(b) the Commission does object to a Proposed Auditor, Baiada must appoint a person identified by the Commission at its absolute discretion as the Auditor of the Divestiture Business on terms approved by the Commission and consistent with the performance by the Auditor of its functions under this Undertaking.

4.5 In the event that an Auditor provides notice of its intent to resign or otherwise cease to act as the Auditor, Baiada must immediately notify the Commission of that fact and the date at which the Auditor will cease to act as the Auditor.

4.6 Baiada must, within five Business Days of the provision of notice to the Commission according to clause 4.5, advise the Commission in writing of the identity of the new Proposed Auditor, together with such information or documents (including, but not limited to the proposed terms of engagement) that the Commission requires to assess the skill and independence of the Proposed Auditor.

4.7 Unless otherwise agreed to by the Commission, Baiada must not appoint the Auditor or have any agreements, understandings or arrangements with the Auditor, to utilise the Auditor's services for anything other than compliance with this Undertaking as required by the Undertaking for the term of the Undertaking.

4.8 Baiada must:

(a) by the third business day of every month, commencing from the Control Date, provide to the Commission a written report from the Auditor in relation to the compliance of Baiada with its obligations under the Undertaking; and

(b) if the Purchaser has requested services under clause 3.16(a) from Baiada:

(i) procure the Auditor to report on the adequacy of, and compliance by Baiada with, specific measures taken to maintain the confidentiality of any competitively sensitive information of the Divestiture Business; and

(ii) procure the Auditor to report on the use of any confidential information by Baiada prohibited by clause 3.16(f) in relation to the Divestiture Business;

4.9 Baiada must procure:

(a) the Auditor to provide information or documents requested by the Commission directly to the Commission; and

(b) the Auditor immediately report or otherwise inform the Commission directly of any issues that arise in the performance of their functions as Auditor or in relation to any matter that may arise in connection with this Undertaking.

4.10 Baiada must maintain and fund the Auditor and must indemnify the Auditor for reasonable expenses and any loss, claim or damage arising from the proper performance by the Auditor of functions required to be performed by the Auditor under this Undertaking.

4.11 The Commission may approve any proposal by, and alternatively may direct, Baiada to terminate the Auditor if, in the Commission's view, the Auditor:

(a) acts inconsistently with the provisions of this Undertaking;

(b) acts inconsistently with the terms of their engagement; or

(c) no longer satisfies the criteria of independence in clause 4.2.

4.12 Baiada must provide to the Auditor any information or documents requested by the Auditor that the Auditor considers necessary for fulfilling its obligations in relation to compliance by Baiada with its obligations under the Undertaking or for reporting to or otherwise advising the Commission.

4.13 Baiada must procure the Auditor to provide information or documents or access to the Commission, as required by the Commission to ensure compliance with the Undertaking.

4.14 In complying with the obligations in this clause 4, Baiada must, in respect of compliance by Baiada with the obligations under the Undertaking, from the Control Date:

(a) provide and pay for any external expertise, assistance or advice required by the Auditor to perform their role;

(b) take any steps directed by the Commission in relation to matters arising from the report of the Auditor referred to in clause 4.8(a) within ten

Business Days of being so directed (or such longer period agreed with the Commission);

(c) direct its personnel, including directors, managers, officers, employees and agents to act in accordance with the obligations set out in this clause 4.14 and ensure such personnel are aware of the Auditor and its role; and

(d) provide access, information and/or documents required by the Auditor.

5 RELEASE OF PERSONNEL

5.1 Baiada must release the relevant personnel identified in Schedule 2(h), with effect from the Divestiture Date, from:

(a) any obligation to provide services to Baiada; and

(b) any non-compete or similar restraint of trade obligation, to the extent that such obligation would otherwise prevent the staff member or person from performing his or her role in relation to the Divestiture Business.

5.2 Baiada must not procure, promote or encourage the transfer of personnel from the Purchaser to Baiada for a period of 6 months from the Divestiture Date.

6 INFORMATION

6.1 The Commission may direct Baiada in respect of its compliance with this Undertaking to, and Baiada must:

(a) furnish information, documents and materials to the Commission in the time and in the form requested by the Commission;

(b) produce information, documents and materials to the Commission within Baiada's custody, power or control in the time and in the form requested by the Commission; and/or

(c) attend the Commission at a time and place appointed by the Commission to answer any questions the Commission (including its staff or its agents) may have .

6.2 Baiada must provide information or documents within five Business Days or such time as the Commission specifies, in response to any queries or requests for information or documents made by the Commission (including a person authorised by the Commission referred to in clause 12.2(p)).

6.3 Information furnished, documents and material produced or information given in response to the Commission's direction under clause 6.1 may be used by the Commission for any purpose consistent with the exercise of its statutory duties and functions.

6.4 Any direction made by the Commission under clause 6.1 will be notified to Baiada in accordance with clause 11.2.

6.5 The Commission may in its discretion:

(a) advise the Auditor of any request made by it under this clause 6; and/or

(b) provide copies to the Auditor of any information furnished, documents and material produced or information given to it under this clause 6.

6.6 Nothing in clause 6 requires the provision of information or documents in respect of which Baiada has a claim of legal professional privilege.

7 OBLIGATION TO PROCURE

7.1 Where the performance of an obligation under this Undertaking requires a Related Body Corporate of Baiada to take or refrain from taking some action, Baiada must procure that Related Body Corporate to take or refrain from taking that action, as the case may be.

8 CONFIDENTIALITY AND DISCLOSURE

8.1 Baiada and the Commission agree the contents of the Confidential Schedules of this Undertaking will remain confidential.

8.2 Baiada acknowledge that the Commission may, subject to clause 8.1:

(a) make this Undertaking publicly available; and

(b) publish this Undertaking on its Public Section 87B Undertakings Register; and

(c) from time to time publicly refer to this Undertaking.

8.3 Nothing in clause 8 prevents the Commission from disclosing such information as:

(a) is required by law;

(b) is permitted by section 155AAA of the Act;

(c) is necessary for the purpose of enforcement action under section 87B of the Act; or

(d) is necessary for the purpose of making such market inquiries as the Commission thinks fit to assess the impact on competition arising in connection with the Undertaking.

8.4 Nothing in clause 8 prevents the Commission from using the information contained in this Undertaking for any purpose consistent with its statutory duties and functions.

9 NO DEROGATION

9.1 This Undertaking does not prevent the Commission from taking enforcement action at any time, whether during or after the period of this Undertaking, in respect of any breach by Baiada of any term of this Undertaking.

9.2 Nothing in this Undertaking is intended to restrict the right of the Commission to take action under the Act for penalties or other remedies in the event that Baiada does not fully implement and/or perform its obligations under this Undertaking or in any other event where the Commission decides to take action under the Act for penalties or other remedies.

10 COSTS

10.1 Baiada must pay all of its own costs incurred in relation to this Undertaking.

11 NOTICES

11.1 Any notice or communication to the Commission pursuant to this Undertaking must be sent to:

Name:	Australian Competition & Consumer Commission
Address:	23 Marcus Clarke Street, Canberra ACT 2601
Fax Number:	(02) 6243 1212
Attention:	Executive General Manager, Mergers and Acquisitions Group

11.2 Any notice or communication to Baiada pursuant to this Undertaking must be sent to:

Name:	Baiada Holdings Pty Limited
Address:	642 Great Western Highway, Pendle Hill, NSW, 2145
Fax Number:	(02) 9636 9636
Attention:	John Camilleri

with a copy to:

Name:	Henry Davis York
Address:	44 Martin Place, Sydney NSW 2000
Fax Number:	(02) 9947 6999
Attention:	Scott Murray

11.3 If Baiada or the Commission gives the other three Business Days notice of a change to its address or fax number, any notice or communication is only given to the relevant entity if it is delivered, posted or faxed to the most recently advised address or fax number.

12 DEFINITIONS AND INTERPRETATION

12.1 Definitions

The meanings of the terms used in this document are set out below.

Act means the *Trade Practices Act 1974* (Cth).

Asset Sale Agreement means an agreement or agreements in respect of the sale and purchase of the Divestiture Business by Baiada to the Purchaser and a copy of which is attached to this Undertaking as Confidential Schedule 5.

Auditor means the Auditor appointed by Baiada in accordance with clause 4.

Baiada means Baiada Holdings Pty Limited ABN 19 003 013 321 of 642 Great Western Highway, Pendle Hill, NSW, 2145 and its Related Bodies Corporate, and, for the avoidance of doubt, includes Bartter on and from the Control Date.

Bartter means Bartter Holdings Pty Limited ABN 84 104 671 561 of Farm 131, McWilliams Road, Hanwood NSW 2680 and its Related Bodies Corporate.

Broiler Growing Capacity means the quantum of broiler chickens that may be raised on farms where broiler chicken are grown under contract for subsequent processing.

Broiler Farm Growing Area means the area of ground under shedding on farms where prior to the Divestiture Date broiler chickens were grown under contract for subsequent processing by Bartter or Baiada.

Business Day means a day other than a Saturday or Sunday on which banks are open for business generally in the Australian Capital Territory.

Business Records means, in relation to the Divestiture Business:

1. Customer and supplier lists and files and other information relating to them;
2. Employment records of all employees employed by the Divestiture Business and all other employees necessary for the operation of the Divestiture Business as identified in Schedule 2(h); and
3. Originals and copies, in machine readable form, of all books, files, reports, records, correspondence, documents and other material of or relating to or used in connection with the Divestiture Business.

Commission means the Australian Competition and Consumer Commission, and where relevant any advisors or agents engaged by the Commission to assess compliance with this Undertaking.

Completion Deed means the deed between Baiada, Bartter and the Purchaser which provides that completion of the Share Sale Deed and Asset Sale Agreement is interdependent and also provides for the order of completion of each transaction on the same day and at approximately the same time and at the same place and a copy of which is attached to this Undertaking as Confidential Schedule 4.

Control has the same meaning as given to that term by section 50AA of the *Corporations Act 2001* (Cth).

Control Date means the date on which Baiada acquires control of Bartter under the Share Sale Deed.

Day Old Chick and Fertile Egg Supply Agreement means the supply agreements between Baiada Poultry Pty Limited and the Purchaser in relation to the supply of day old chicks (or the equivalent fertilised eggs or parent stock) and which are attached to this Undertaking as Confidential Schedule 1.

Divestiture means the sale by Baiada of the Divestiture Business to the Purchaser pursuant to this Undertaking.

Divestiture Business means the business operated utilising those assets and associated rights and liabilities described in Schedule 2 and, for the avoidance of doubt, includes all those assets contained in the Asset Sale Agreement.

Divestiture Date means the date on which Baiada no longer has ownership or control of the Divestiture Business.

Divestment Implementation Deed means an executed deed between Baiada and the Purchaser pursuant to which it is agreed the Divestiture will be implemented by entry into and completion of the Asset Sale Agreement on the Control Date and a copy of which is attached to this Undertaking as Confidential Schedule 3.

La Ionica means the group of companies of which the Purchaser, who has been approved by the Commission, is a member.

Proposed Acquisition the proposed acquisition by Baiada of Bartter pursuant to the Share Sale Deed.

Proposed Auditor means a person proposed by Baiada to the Commission pursuant to clause 4 to act as the Auditor.

Purchaser means Turi Enterprises Pty Limited ACN 057 142 971 of 5 Lipton Avenue, Thomastown, Victoria 3074 (a member of the La Ionica group of companies) and its Related Bodies Corporate.

Related Body Corporate has the meaning given to that phrase by section 4A of the Act.

Sale Shares has the meaning set out in Schedule 1 of the Share Sale Deed.

Share Sale Deed means the share sale deed dated on or about 21 November 2008 as varied on 7 May 2009 and 19 May 2009 and as further varied from time to time in accordance with clause 3.11, to which Baiada is a party, in relation to the acquisition of all of the shares in Bartter and a copy of which is attached to this Undertaking as Confidential Schedule 6.

Third Party Consents means the sale and/or assignment of any assets, licences, permits or approvals used by, or in, the Divestiture Business at the date of this Undertaking that are, in each case, leased or subject to third party consent upon a change of control or transfer of the business and which will be subject in each case to Baiada obtaining the relevant written consent of the lessor or third party to the continuation of the use by the Purchaser, after the sale of such business in accordance with this Undertaking, of such asset, licence, permit or approval (including the transfer, assignment or novation of such instrument if appropriate) by the Divestment Business, on no less favourable terms than enjoyed by the Divestment Business at the date of this Undertaking.

Transaction Date means the day on which the sale of the Divestiture Business to the Purchaser is scheduled to take place and is the same day as the day on which the Proposed Acquisition is scheduled to complete.

Undertaking is a reference to all the provisions of this document, including its Schedules.

12.2 Interpretation

In the interpretation of this Undertaking, the following provisions apply unless the context otherwise requires:

(a) a reference to "this Undertaking" includes all of the provisions of this document.

(b) headings are inserted for convenience only and do not affect the interpretation of this Undertaking.

(c) a reference in this Undertaking to a business day means a day other than a Saturday or Sunday on which banks are open for business generally in the Australian Capital Territory.

(d) if the day on which any act, matter or thing is to be done under this Undertaking is not a business day, the act, matter or thing must be done on the next business day.

(e) a reference in this Undertaking to any law, legislation or legislative provision includes any statutory modification, amendment or re-enactment, and any subordinate legislation or regulations issued under that legislation or legislative provision.

(f) a reference in this Undertaking to any company includes its Related Bodies Corporate.

(g) a reference in this Undertaking to any agreement or document is to that agreement or document as amended, novated, supplemented or replaced.

(h) a reference to a clause, part, schedule or attachment is a reference to a clause, part, schedule or attachment of or to this Undertaking.

(i) an expression importing a natural person includes any company, trust, partnership, joint venture, association, body corporate or governmental agency.

(j) where a word or phrase is given a defined meaning, another part of speech of other grammatical form in respect of that word or phrase has a corresponding meaning.

(k) a word which denotes the singular also denotes the plural, a word which denotes the plural also denotes the singular, and a reference to any gender also denotes the other genders.

(l) a reference to the word "include" or "including" is to be construed without limitation.

(m) a construction that would promote the purpose or object underlying the Undertaking (whether expressly stated or not) shall be preferred to a construction that would not promote that purpose or object.

(n) material not forming part of this Undertaking may be considered to:

  (i) confirm the meaning of a clause is the ordinary meaning conveyed by the text of the clause, taking into account its context in the Undertaking and the competition concerns intended to be addressed by the Undertaking and the clause in question; or

  (ii) determine the meaning of the clause when the ordinary meaning conveyed by the text of the clause, taking into account its context in the Undertaking and the purpose or object underlying the Undertaking, leads to a result that does not promote the purpose or object underlying the Undertaking.

(o) in determining whether consideration should be given to any material in accordance with clause12.2(n), or in considering any weight to be given to any such material, regard shall be had, in addition to any other relevant matters, to the:

  (i) effect that reliance on the ordinary meaning conveyed by the text of the clause would have (taking into accounts its context in the Undertaking and whether that meaning promotes the purpose or object of the Undertaking); and

  (ii) the need to ensure that the result of the Undertaking is to address the Commission's competition concerns.

(p) the Commission may authorise the Mergers Review Committee, a member of the Commission or a member of the Commission staff, to exercise a decision making function under this Undertaking on its behalf and that authorisation may be subject to any conditions which the Commission may impose.

(q) in performing its obligations under this Undertaking, Baiada will ensure that its performance of those obligations is done in a manner which is consistent with promoting the purpose and object of the Undertaking.

Executed by **Baiada Holdings Pty Limited ABN** 19 003 013 321 in accordance with its constitution by:

Common Seal BAIADA HOLDINGS PTY. LIMITED A.C.N. 003 013 321

Signature of Director	Signature of Authorised Signatory
JOHN CAMILLERI	GEORGE TSEKOURAS
Name of Director (please print)	Name of Authorised Signatory(please print)

Date: 25 JUNE 2009

Accepted by the Australian Competition & Consumer Commission pursuant to section 87B of the *Trade Practices Act* 1974

30th June 2009

Graeme Julian Samuel
Chairman

CONFIDENTIAL SCHEDULE 1

Excluded from register

SCHEDULE 2

Divestiture Business

The following items are to be divested by Baiada immediately following completion of the Proposed Acquisition in accordance with the Asset Sale Agreement:

(a) Geelong Plant - being all Land, Buildings, Plant and Equipment, fixtures and fittings.

Registered Proprietor	Title details	Address of Freehold Property	Current Use
Steggles Poultry Pty Limited ACN 000 011 156 Steggles Limited ACN 002 759 462	Crown Allotment 17 Section 6A (Volume 9071 Folio 180); Lot 24 on Plan 130878 (Volume 9349 Folio 613)	41 -45 Leather Street, Breakwater, Geelong, Victoria 47 Leather Street, Breakwater, Geelong, Victoria	Processing plant, Water Treatment, Maintenance Workshop, Training Centre, Cold Storage, Distribution Centre
Steggles Poultry Pty Limited ACN 000 011 156	Lot 15 on Plan 206124A (Volume 9747 Folio 378)	Lot 15 Reeves Court, Breakwater, Geelong, Victoria	Vacant allotment

Lessee	Lessor	Title registration details	Description	Current Use
Bartter Enterprises Pty Limited ACN 000 451 374	Barwon Region Water Authority	Unregistered. Part of Volume 9287 Folio 379	Rectangular strip of 600 sqm adjoining 41-45 Leather Street, Breakwater, Victoria	Not known

(b) Anakie, Bannockburn & Pakenham Breeder Farms & Hatchery - Land, Buildings, Plant and Equipment, fixtures and fittings.

Registered Proprietor	Title details	Address of Freehold Property	Current Use
Steggles Poultry Pty Limited ACN 000 011 156	Lot 1 on Plan 201240A (Volume 9655 Folio 718)	Corner Pringles Road & Geelong - Ballan Road, Anakie, Victoria	Breeder rearing farm
Steggles Poultry Pty Limited ACN 000 011 156	Lots 1 to 6 on Plan 31840L (Volume 10088 Folios 300, 301, 302, 303, 304, 305) Lot 1 on Plan 234491J (Volume 5381 Folio 98)	449 Burnside Road, Bannockburn, Victoria	Breeder farm and hatchery

Lessee	Lessor	Title registration details	Description	Current Use
Bartter Enterprises Pty Limited ACN 000 451 374	Ali & Malake Holdings Pty Ltd ACN 068 304 772	Lot 4 plan of subdivision PS 546335W (Volume 9412 Folio 866)	247 McGregor Road, Pakenham, Victoria	Breeder farm

(c) North Melbourne Feed Mill - Land, Buildings, Plant and Equipment, fixtures and fittings.

Registered proprietor	Title details	Address of Freehold Property	Current Use
Osbourne Park Poultry Pty Limited	Lots 1-7 on Plan 174151R (Volume 6744 Folio 713)	86-108 Laurens Street, North Melbourne, Victoria	Feed mill

Lessee	Lessor	Title registration details	Description	Current Use
Steggles Limited ACN 002 759 462	Victorian Rail Track	Unregistered. Lot 1 on title 802576K being the land remaining untransferred in Volume 3055 Folio 996	Railway lots 79 & 89, Arden Street, "C" Siding, Victoria (also known as 103 Laurens Street, North Melbourne)	Feed mill admin & weighbridge

(d) Hawthorn Sales Office, including fixtures and fittings.

Lessee	Lessor	Title registration details	Description	Current Use
Bartter Enterprises Pty Ltd ABN 22 000 451 374	Calvin & Susan Anderson	Unregistered. Lot 404 on Plan 439630S being Volume 10720 Folio 286	Suite 404, 737 Burwood Road, Hawthorne, Victoria	Regional sales and administration.

(e) Business Records relating to the Divestiture Business, including but not limited to:

(i) all trading and financial records;

(ii) all employee and contractor records;

(iii) lists of all regular suppliers and customers, including the name of the contact person at each supplier and customer and their respective contact details.

(f) Goodwill - being the right to carrying on the Divestiture Business as the successor of Bartter after completion, but does not include any transfer or licence of the trade marks, brands, business names, domain names, websites or other intellectual property rights used in the business (excluding any copyright in the Business Records).

[The remainder of this clause is in confidential schedule 9.]

(g) Contracts:

(i) Customers - any fixed term partially performed contracts with existing customers of the Divestiture Business;

(ii) Growers - Transfer of the following Victorian broiler growing contracts: [remainder of this sub-clause is in confidential schedule 10]

and:

(iii) Broiler Farm Growing Area - Baiada will transfer growing contracts from its existing growers [remainder of this sub-clause is in confidential schedule 11] equivalent to at least 42,000 square metres of Broiler Farm Growing Area. In this regard, Baiada will provide to the Purchaser before the Transaction Date a list of Growers comprising at least 50,000 square metres of Broiler Farm Growing Area, from which the Purchaser may select the growers which it requires that Baiada transfer. The list of growers that Baiada provides to the Purchaser will include growers whose average biological performance (efficiency rating) for the past 2 years is above 99.5%.

(iii) Other Suppliers - any arrangements, agreements or contracts with third parties to supply goods or services to the Divestiture Business;

(h) Personnel –

(i) all employees employed exclusively in the operation of the Divestiture Business, together with their accrued entitlements;

(ii) any other employees necessary for the operation of the Divestiture Business, together with their accrued entitlements; and

(iii) any service contract necessary for the operation of the Divestiture Business

(i) Stock -

(i) all processed stock and dry goods at the Geelong plant;

(ii) all live broilers and feedstock and dry goods on the broiler growing farms supplying the Geelong plant;

(iii) all breeder birds, day old chicks, & fertile eggs and dry goods on the Anakie and Bannockburn breeder farms and hatchery identified in Schedule 2(b).;

(iv) feedstock and raw material ingredients and dry goods at the North Melbourne Feed Mill identified in Schedule 2(b); and

(v) crates,

that are used or intended to be used in connection with the Divestiture Business, but does not include:

(vi) stock which is not good and saleable;

(vii) branded packaging materials having reference to any trade marks, brands, business names, domain names, websites or other intellectual property rights used in the business; and

(viii) frozen processed stock.

In this paragraph dry goods includes packaging, consumables, protective clothing and spare parts.

(j) Statutory Licences - subject to law, all licences, permits, permissions (howsoever described), accreditations or other regulatory approvals that are required for the operation of the Divestiture Business.

CONFIDENTIAL SCHEDULE 3

Excluded from register

CONFIDENTIAL SCHEDULE 4

Excluded from register

CONFIDENTIAL SCHEDULE 5

Excluded from register

CONFIDENTIAL SCHEDULE 6

Excluded from register

CONFIDENTIAL SCHEDULE 7

Third Party Consents

3.6(b) Baiada must:

(i) obtain all Third Party Consents as soon as practicable after entering into an Asset Sale Agreement with the Purchaser, but prior to the Transaction Date;

(ii) provide the Commission, at least seven Business Days prior to the Transaction Date, with:

(A) copies of all Third Party Consents; and

(B) where such Third Party Consents could not be obtained, notice from the Third Parties who did not provide a Third Party Consent stating the reasons why such consent could not be given;

(iii) comply with all requirements necessary to obtain all Third Party Consents including providing necessary information promptly to the lessor or third party;

(iv) promptly pay the costs and expenses of any lessor or third party reasonably incurred in providing the Third Party Consents; and

(v) act in good faith in its negotiations to obtain all Third Party Consents.

CONFIDENTIAL SCHEDULE 8

3.7 Notwithstanding that Baiada has complied with clause 3.6(b), if:

(a) all Third Party Consents have not been obtained; or

(b) if all Third Party Consents have not been supplied to the Commission,

the Proposed Acquisition may only proceed with the prior approval of the Commission.

CONFIDENTIAL SCHEDULE 9

Excluded from register

CONFIDENTIAL SCHEDULE 10

Excluded from register

CONFIDENTIAL SCHEDULE 11

Excluded from register

CONFIDENTIAL SCHEDULE 12

Excluded from register